The Economic Integration of Refugees

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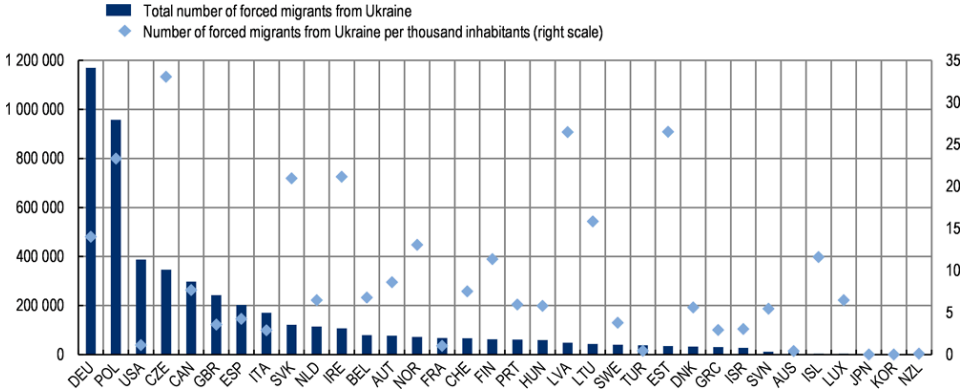
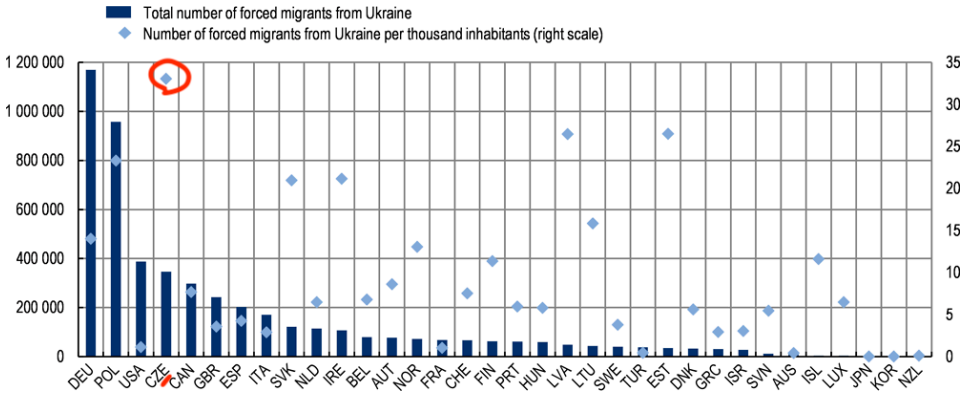
The number of forcibly displaced people is on the rise. There are now roughly **120 million displaced people**.[1]

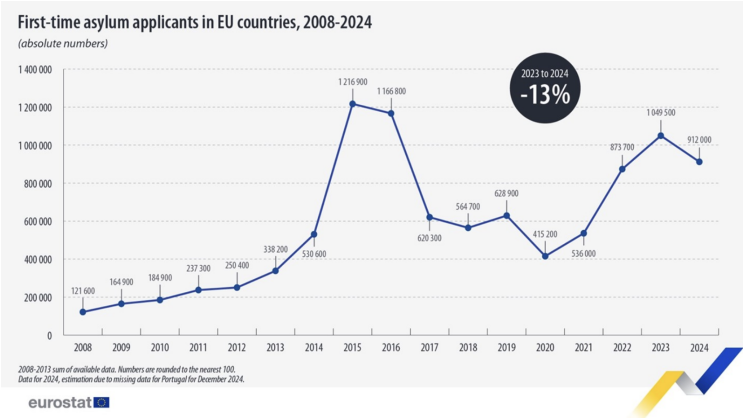
- Most displaced people are *internally* displaced.
- 73% are hosted in *low and middle-income* countries.
- 67% are hosted in *neighboring countries*.



Around **4.4 million people fled Ukraine** following the Russian war against Ukraine.[2]



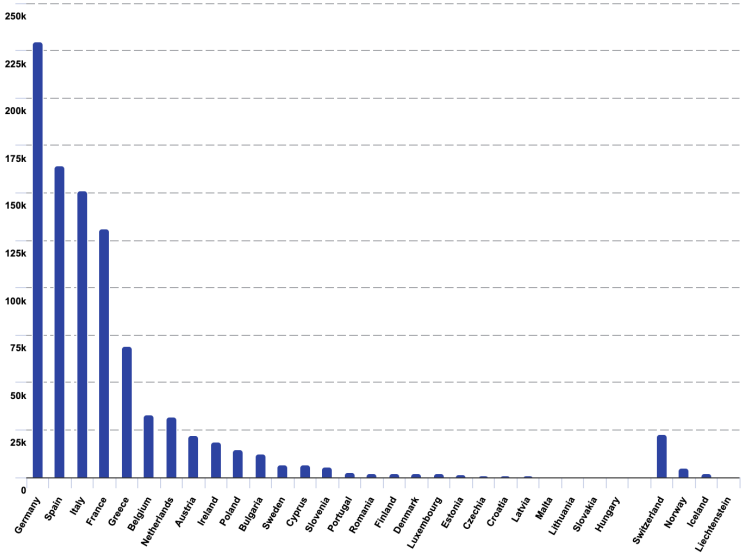
The Czech Republic has the **highest share of Ukrainian displaced people** among OECD countries.[3]



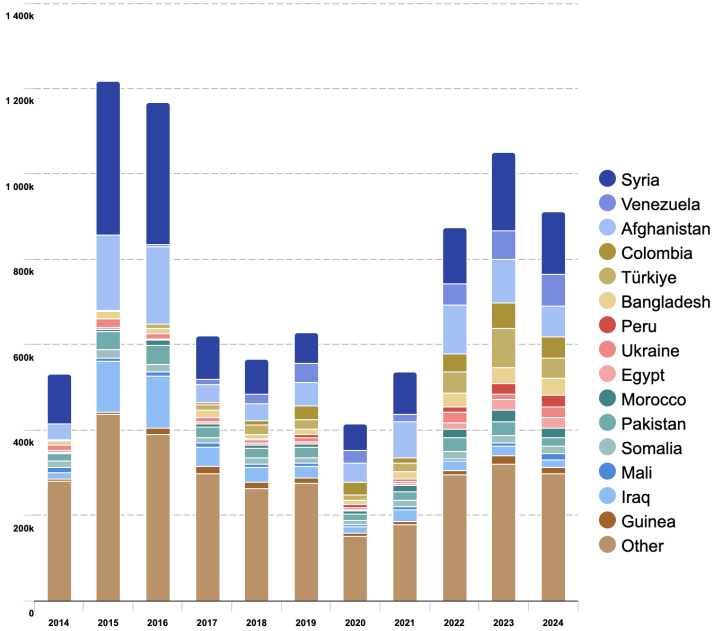
First-time asylum applicants in EU countries, 2008–2024 (absolute numbers)
Source: Eurostat (migr_asyappctza)

In addition, hundreds of thousands from other origin countries **apply for asylum** in EU countries every year.[4]

Germany, Spain, & Italy register the largest number of applications (in absolute terms).[5]

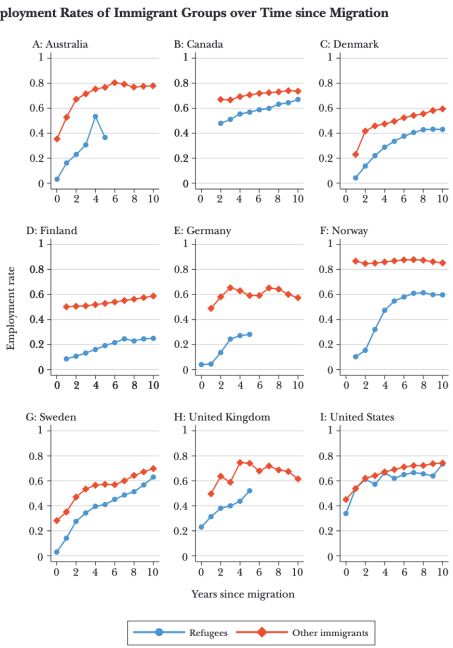


Syria, Venezuela, and Afghanistan are among the largest origin countries.[6]

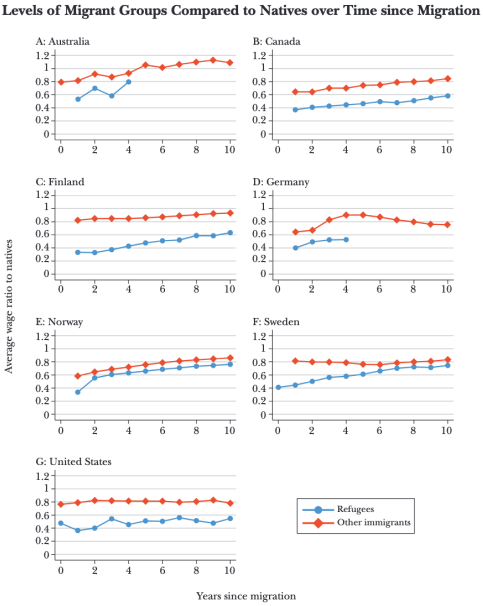


A major challenge — for both refugees themselves and host institutions — is the **social, political and economic integration** of refugees.

Refugees have lower employment rates . . .



. . . and wages than other immigrants.[7]



In the **Czech Republic**, most working-age Ukrainians work (69% in 2024). Most work in manufacturing, and are auxiliary/unskilled workers. However, many are in positions for which they are overqualified.[8][9]

In many other European countries, the picture is worse. In **Switzerland**, only 35.7% of Ukrainian refugees were employed (Oct. 2025).[10] Similar levels in **Germany**.

Puzzle 1: Why is there such a big gap between employment rates in the Czech Republic and Switzerland/Germany?

Possible reasons:

- Language proximity
- Skill match
- Regulatory framework
- Welfare incentives
- Size of existing networks

Puzzle 2: Why is there such a big gap between refugees and other immigrants?

Possible reasons:

- Skills, education, and qualifications
- Many non-refugee immigrants come for a job
- Psychological traumata

The rest of this talk:

1. The asylum system
2. Refugee policies
3. Evaluating refugee policies
4. Supporting refugees using an online app

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2. Refugee policies
3. Evaluating refugee policies
4. Supporting refugees using an online app

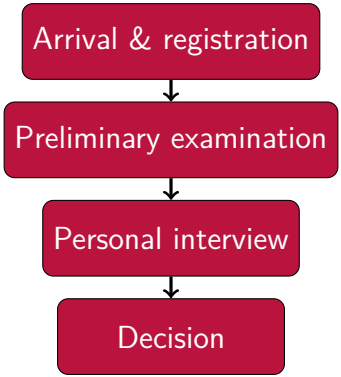
Throughout, I will focus on **Switzerland** as an example.

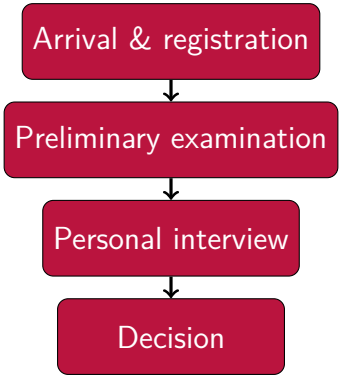
The rest of this talk:

I will discuss two projects that follow two different *research approaches*.

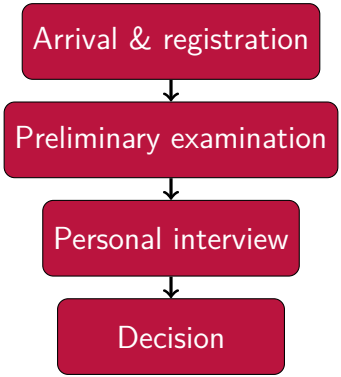
1. **Observational study**
2. **Large-scale field experiment**

The asylum system in Switzerland

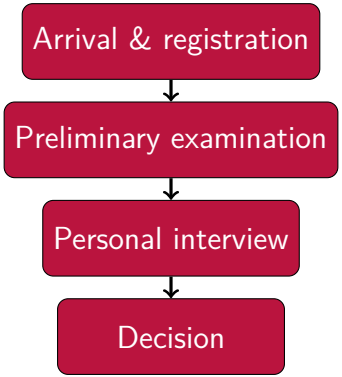

Arrival & registration
Preliminary examination
Personal interview
Decision



- Registration at the border, Federal Asylum Centers, or airports
- Fingerprints and identity are recorded

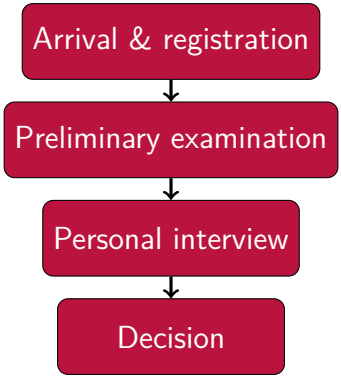


- Is Switzerland responsible?
- Under the Dublin system, a refugee can only apply in one country.
- In principle, the country of first entry is responsible (rarely enforced).



The purpose of the hearing is to assess **risks of persecution**, **reasons for asylum application**, and **credibility of story**.

Documentary "Hearing"

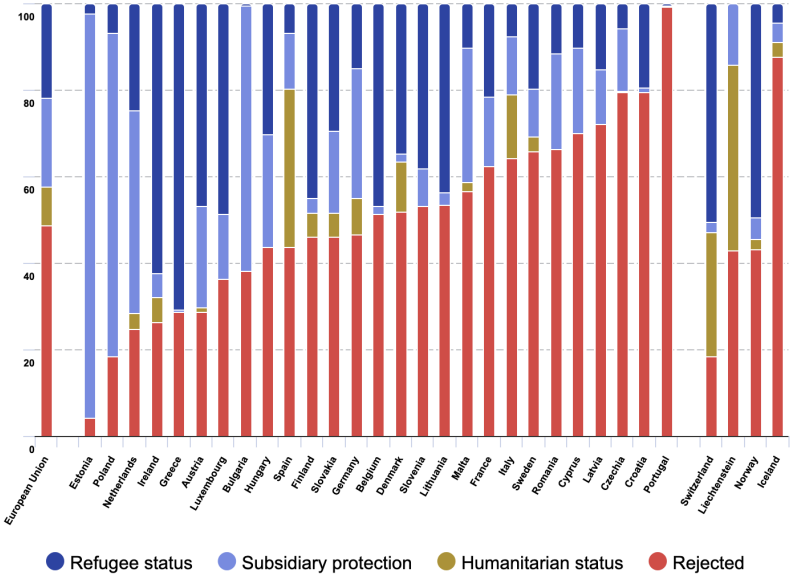


Outcome of the asylum process

- Recognized as refugee
- Asylum application rejected

  Temporarily recognized refugee*
  Temporarily recognized foreigner*
  Return to home country

*Subsidiary protection


100
80
60
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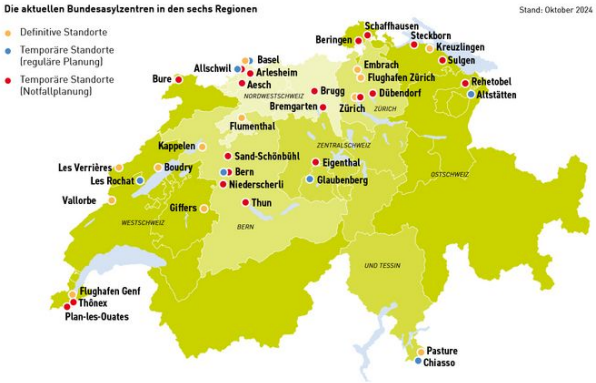
European Union
Estonia
Poland
Netherlands
Ireland
Greece
Austria
Luxembourg
Bulgaria
Hungary
Spain
Finland
Slovakia
Germany
Belgium
Denmark
Slovenia
Lithuania
Malta
France
Italy
Sweden
Romania
Cyprus
Latvia
Czechia
Croatia
Portugal
Switzerland
Liechtenstein
Norway
Iceland
Refugee status
Subsidiary protection
Humanitarian status
Rejected

The asylum process often takes **long**, and it is challenging to navigate the process.

Historically, asylum processes exceeding **two years or more** were not uncommon. Recently, there has been an increased use of accelerated processes (maximum of 140 days); extended process $<$1y.

There is solid extensive evidence that long waiting times impede the integration of refugees.[11]

Film "Limbo"



Asylum seekers/refugees are initially housed in one of the Federal Asylum Centers. They are then assigned (quasi-randomly) to one of the 26 cantons, proportional to population size.

The asylum decision is **crucial**.

While most (>90%) with subsidiary protection stay in the country in the long term, they have different rights than recognized refugees.

Monthly financial support for unemployed refugees: 1'100 CHF for recognized refugees; 400 CHF with subsidiary protection.

Refugee policies in Switzerland

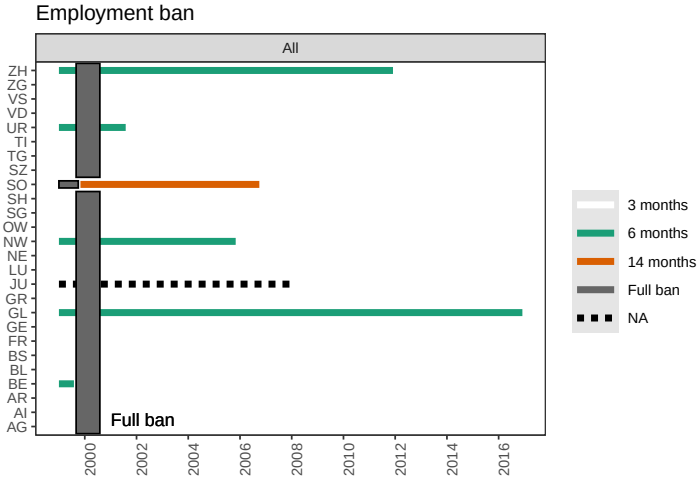
Refugees are exposed to a complex framework of **social and economic policies**.

- Integration and language courses
- Temporary employment bans
- Movement restrictions
- Employment rights
- Level of cash benefits and non-monetary support

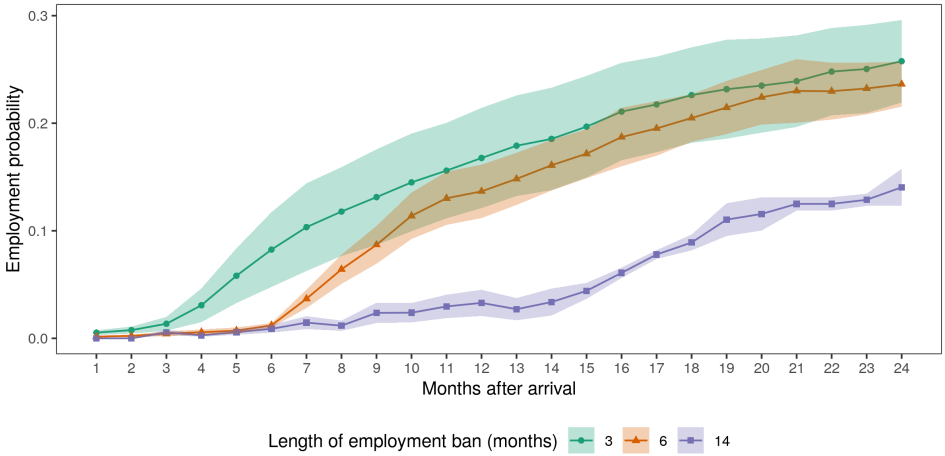
Refugees are exposed to a complex framework of social and economic policies, ranging from the *level of financial support* to *restrictions on employment*.

Switzerland has 26 cantons. Each canton sets its own refugee policies (to a large degree).

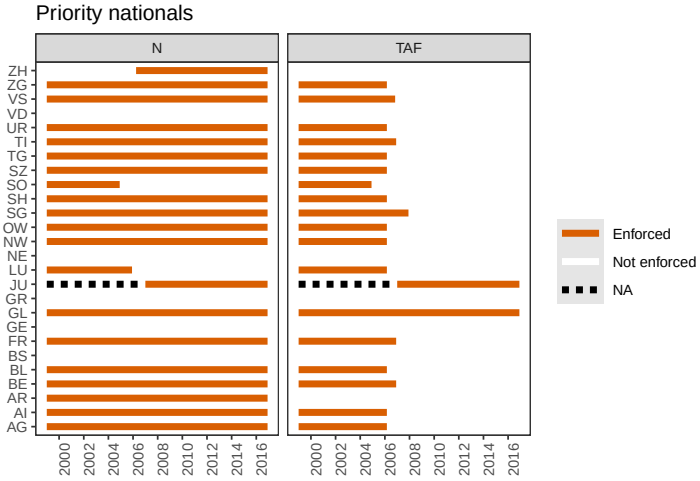
The policy variation in Switzerland mirrors the policy variation in European countries.



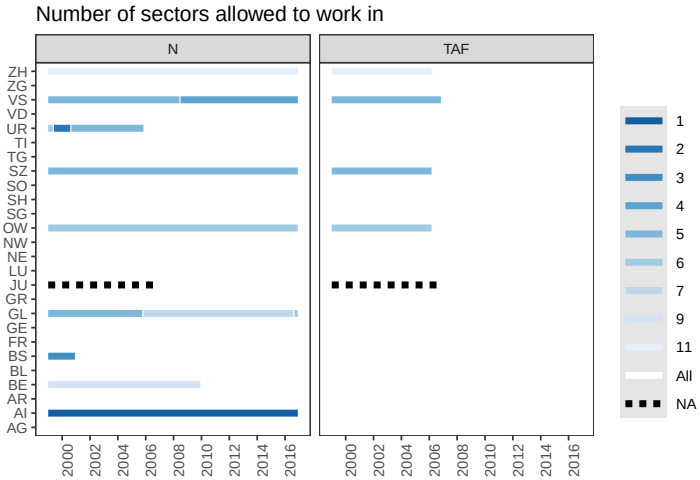
There is a national **employment ban** of three months after asylum application, which is extended by some cantons.



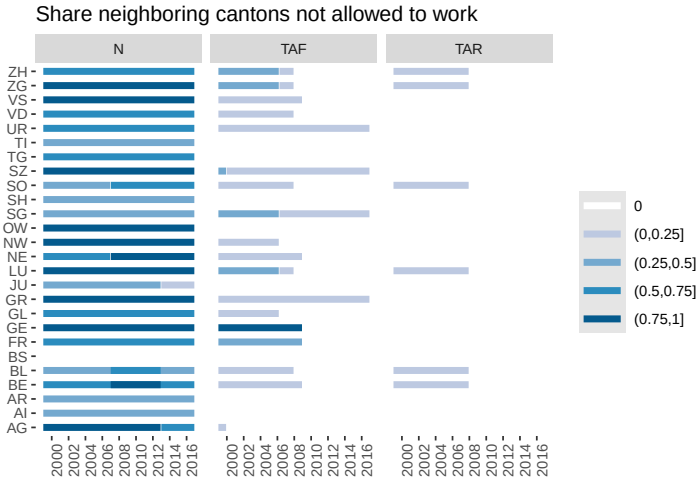
The length of the employment ban has a *lasting* effect on integration.



Many cantons enforce a **prioritization policy**. A firm can only hire a refugee (under subsidiary protection) if it can prove that it could not find anyone to fill the role.



Work permits may be restricted to **certain sectors**.



Some cantons do not issue work permits for certain refugees from **other cantons**.

Why are these restrictions put in place?

Competing/contradicting goals:

- Protect domestic workers
- Disincentivize new refugee arrivals
- Incentivize refugees to return
- Support long-term integration of refugees

Evaluating Swiss refugee policies

How can we credibly evaluate these policies?

This might seem easy, but it is not.

A project with Andreas Beerli, Dominik Hangartner, Selina Kurer, Michael Siegenthaler.[12]

Example

Let's say there are two cantons (A and B) & two years (T_1 and T_2). Initially, neither canton enforces the **prioritization policy**. In year T_2, canton B starts enforcing the prioritization.

Employment rates (in %)

	Years	
	T_1	T_2
Canton A	42	39
Canton B	56	**51**

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	T_1	T_2
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Approach 1: We calculate the difference in employment rates *between cantons*.

$$\text{Employment}_B - \text{Employment}_A = 51 - 39 = 12$$

Example

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Employment rates (in %)

	Years	
	T_1	T_2
Canton A	42	39
Canton B	56	**51**

Is this credible? — No! The two cantons might differ in many other characteristics. For example, canton B might have a larger market for low-skilled jobs.

Example

Let's say there are two cantons (A and B) & two years (T_1 and T_2). Initially, neither canton enforces the **prioritization policy**. In year T_2, canton B starts enforcing the prioritization.

Employment rates (in %)

	Years	
	T_1	T_2
Canton A	42	39
Canton B	56	**51**

Approach 2: We calculate the difference in employment rates *before and after* the introduction of the policy in canton B.

$$\text{Employment}_{T_2} - \text{Employment}_{T_2} = 51 - 56 = -5$$

Example

Let's say there are two cantons (A and B) & two years (T_1 and T_2). Initially, neither canton enforces the **prioritization policy**. In year T_2, canton B starts enforcing the prioritization.

Employment rates (in %)

	Years	
	T_1	T_2
Canton A	42	39
Canton B	56	**51**

Is this credible? — No! The economic landscape might have changed over time. Maybe Switzerland's economy is doing worse in year 2 for other reasons.

Example

Let's say there are two cantons (A and B) & two years (T_1 and T_2). Initially, neither canton enforces the **prioritization policy**. In year T_2, canton B starts enforcing the prioritization.

Employment rates (in %)

	Years	
	T_1	T_2
Canton A	42	39
Canton B	56	**51**

Approach 3: We can combine the two approaches using a Differences-in-differences approach.

$$(51 - 56) - (39 - 42) = (-5) - (-3) = -2$$

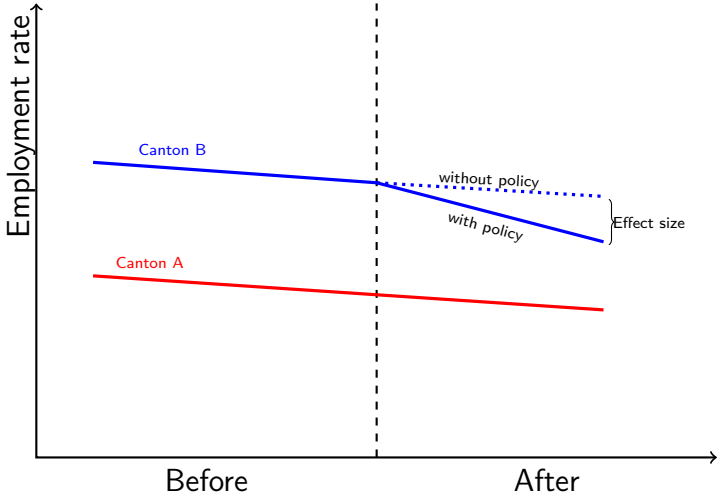
Example

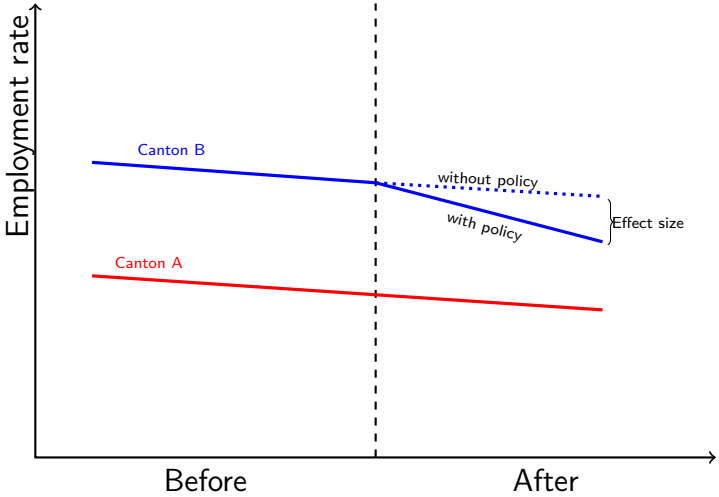
Let's say there are two cantons (A and B) & two years (T_1 and T_2). Initially, neither canton enforces the **prioritization policy**. In year T_2, canton B starts enforcing the prioritization.

Employment rates (in %)

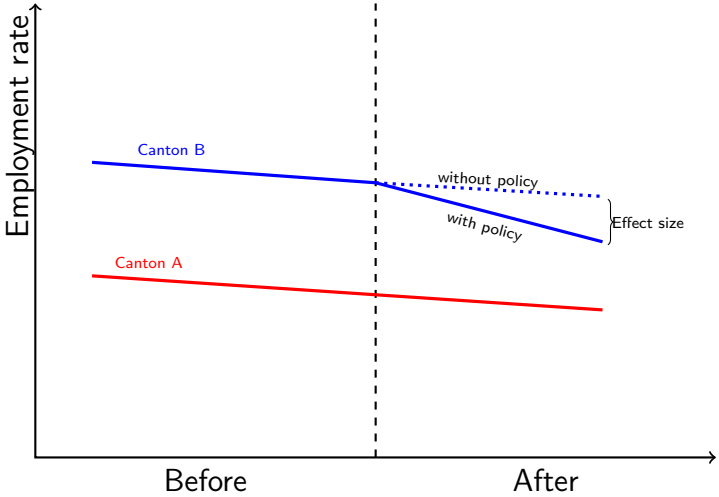
	Years	
	T_1	T_2
Canton A	42	39
Canton B	56	**51**

Is this credible? — Surely more credible. The approach takes into account that cantons are different, and that economic conditions change over time.


Employment rate
Canton B
without policy
with policy
Effect size
Canton A
Before
After



It would be wrong to attribute the **level difference** to the policy.

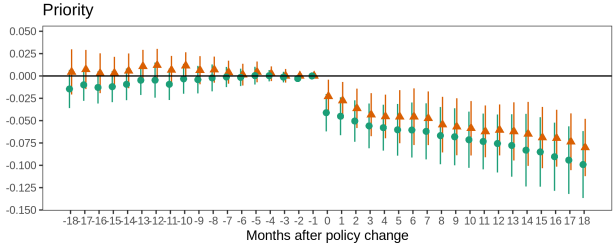


It would also be wrong to attribute the **general downward trend** to the policy.

To perform (a much more complicated version of) this statistical analysis, we need detailed information of every refugee, including their demographic characteristics.

Data sources:

- Anonymized census records
- Anonymized records from the Swiss asylum registry


Priority
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-0.075
-0.100
-0.125
-0.150
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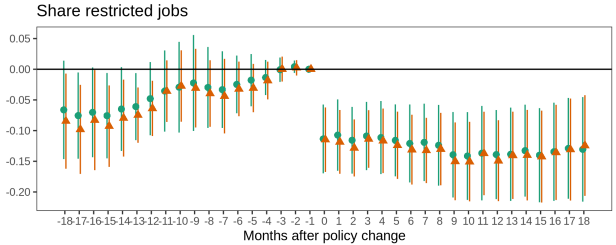
Months after policy change


Share restricted jobs
0.05
0.00
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-0.10
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-0.20
-18 -17 -16 -15 -14 -13 -12 -11 -10 -9 -8 -7 -6 -5 -4 -3 -2 -1 0 1 2 3 4 5 6 7 8 9 10 11 12 13 14 15 16 17 18
Months after policy change
All
N->TAF

Key findings:

- The restrictions *impede* refugees' short- and long-term economic integration.
- The policies *do not* . . .
  - incentivize refugees to return to their home countries
  - have positive effects on natives or other immigrants

Supporting refugees using an online app

We turn to another possible reason for the slow economic integration.

Job search is a challenging and frustrating process for everyone.

We turn to another possible reason for the slow economic integration.

Job search is a challenging and frustrating process for everyone.

This is especially the case for refugees who must navigate an unfamiliar labor market:

- lack of host country language skills
- unfamiliarity with informal rules of the application process
- experiences/qualifications not fully recognized

Research has shown that in-person counselling supports refugees' economic integration. — But it's expensive!

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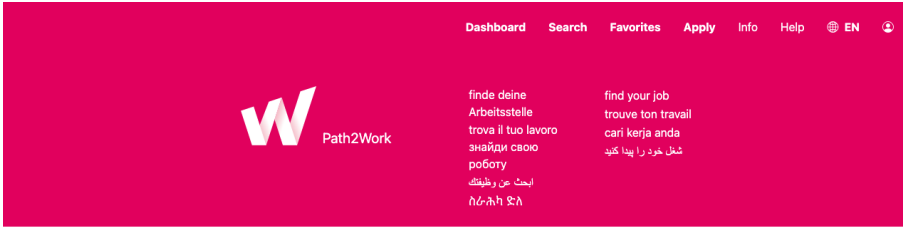
Public institutions make increasingly use of **digital tools**.

- Scaleable and cost-effective
- Quickly adaptable
- Frequent phone use is the norm, but some lack digital literacy.

Research question: Can we support refugees' economic integration through a digital job search tool?

To find that out, we have built an app.

A project with Mirjam Bächli, Dominik Hangartner, Philip Grech, Rafael Lalive.[13]



Welcome. Path2Work aims to support job seekers in their job search. On the Path2Work-platform, you can search for open positions, receive occupation recommendations and access to application materials.

Dashboard

Schweizerische Eidgenossenschaft
Confédération suisse
Confederazione Svizzera
Confederaziun svizra

ETH zürich

Unil.

x28

Schweizerische Eidgenossenschaft
Confédération suisse
Confederazione Svizzera
Confederaziun svizra

Path2Work ETH zürich UNIL | Université de Lausanne

P.P. CH-3003 Bern SEM. POST CH AG

***Path2Work*: Free online job platform for refugees**

March XX, 2025

Dear VORNAME NACHNAME,

Are you looking for new job opportunities in Switzerland?
Finding a job in a new country can be challenging, but *Path2Work* is here to help. *Path2Work* is a free and voluntary online job platform. It supports people with a refugee background in finding jobs that match their skills.

What does *Path2Work* offer you?
With *Path2Work*, you can:

- **Browse thousands of job openings** across Switzerland
- **Receive personalized job recommendations** based on your qualifications
- **Create a profile** so employers can find you and contact you directly
- **Get support for your job applications**, including your cover letter, CV, and interview preparation
- **Obtain a free language certificate** in German, French, Italian or English to strengthen your applications

Who developed *Path2Work*?
The platform was developed by ETH Zurich and the University of Lausanne with support from the State Secretariat for Migration (SEM) and the State Secretariat for Economic Affairs (SECO).

How do you register for *Path2Work*?
Path2Work is free and open to invited participants. Scan the QR code or use the link with the access code to register:

Platzhalter QR-Code (https://path2work.ethz.ch/TOKEN)

Link: https://path2work.ethz.ch
Access code: ABCDEFGH

For any questions, feel free to contact us at path2work@ethz.ch.

We look forward to welcoming you to *Path2Work* and wish you success in your job search!

Kind regards,

<<Position>>
State Secretariat for Migration SEM

<<Position>>
State Secretariat for Economic Affairs SECO

Path2Work

Dashboard Search Favorites Apply Info Help EN

Search

Search for jobs

Painter

Car Painter
Glass Painter
Industrial Painter
Ceramic Painter
Painter
Theater Painter
Master Painter

Location

Zürich

Advanced Search

Search

Job search powered by XZB

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Apply

Zürich 100% Permanent DE 11/3/2025

Painter, painter

Komani AG

Short Original

Introduction

Komani AG is a leading company in the field of painting and interior design in Switzerland. We are looking for a committed painter to join our team with passion and expertise. If you enjoy creative work and a dynamic working environment, we look forward to receiving your application!

Tasks

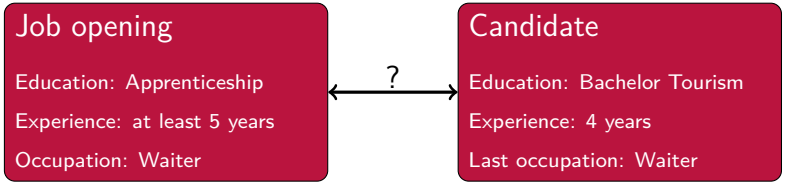
- Preparation of surfaces (cleaning, sanding, priming)
- Carrying out painting and varnishing work indoors and outdoors
- Design and renovation of walls, ceilings and facades
- Compliance with safety and quality standards

Qualifications

- Completed training as a painter EFZ or equivalent qualification
- Experience in the application of different painting techniques
- Craftsmanship and an eye for detail
- Independent and reliable way of working

How do we match jobs and job seekers? — There are many jobs and many candidates, even more possible combinations!

Traditional approaches require collecting structured job/vacancy data.



Advances in AI/LLM (e.g., ChatGPT) help processing unstructured vacancy texts and application files.

Job opening

"We are seeking a friendly and professional Waiter to join our restaurant team. Responsibilities include greeting guests, taking orders accurately, serving food and beverages, and ensuring a pleasant dining experience. The ideal candidate should have strong communication skills, a positive attitude, and the ability to work in a fast-paced environment. . . ."

?

Candidate

"In my previous role at Riverside Cafe, I developed strong skills in taking orders, coordinating with kitchen staff, and ensuring guests enjoyed a comfortable and pleasant dining experience. I am known for my positive attitude, attention to detail, and ability to stay calm during busy shifts. I genuinely enjoy connecting with customers and contributing to a welcoming atmosphere. . . ."

How to evaluate the digital tool?

Naive approach:

We compare users' employment rate (after some months) with non-users employment rate

How to evaluate the digital tool?

Naive approach:

We compare users' employment rate (after some months) with non-users employment rate

Bad idea:

Refugee job seekers *select into* the treatment.

Users might be more motivated to find a job than non-users.

How to evaluate the digital tool?

Better idea:

We randomly invite half of refugees (*treatment group*). We compare their employment rates to the non-invited refugees (*control group*).

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But:

Ethical concern that we exclude half of the refugees from a potentially valuable tool.

How to evaluate the digital tool?

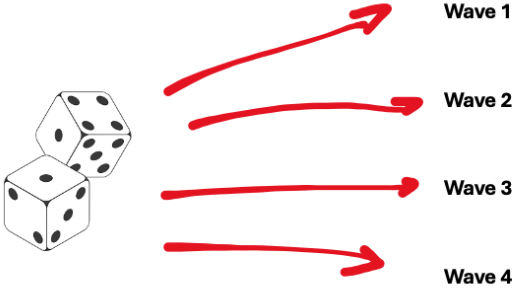
Even better idea:

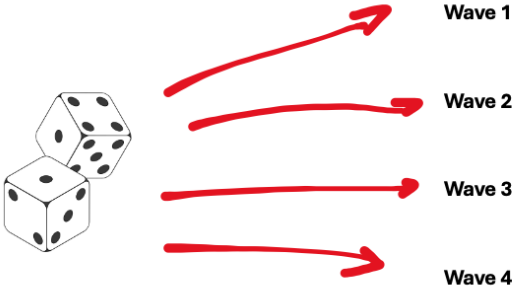
Staggered rollout.

We randomly divide refugees into waves.

Some are invited earlier, some are invited later.

Everyone is invited eventually.


Wave 1
Wave 2
Wave 3
Wave 4



Wave 1 is invited in month 1, Wave 2 is invited in month 7, etc.

Wave 1 Control group

Wave 2

Wave 3 Treatment group

Wave 4

Wave 1

Wave 2

Control group

Wave 3

Treatment group

Wave 4

Wave 1

Wave 2

Wave 3 Control group

Wave 4 Treatment group

First insights

- High interest in the platform: 1 in 5 refugees sign up
- More than 150'000 searches and 80'000 vacancy views

Some take-aways

- Depending on the host country, refugees are exposed to different policies.
- Restricting access to work impedes integration *without benefits to domestic workers*.
- Research in economics tries to identify *causal effects*...
  - using observational data, e.g., from administrative records,
  - using (field) experiments.

Thank you for your attention!

Slides with sources available here:

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Website: achimahrens.de

Remarks I

1. UNHCR (2025) Global Trends. https://www.unhcr.org/global-trends
2. Eurostat (2025), https://ec.europa.eu/eurostat/web/products-eurostat-news/w/ddn-20251010-1.
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7. Brell, Courtney, Christian Dustmann, and Ian Preston. "The Labor Market Integration of Refugee Migrants in High-Income Countries." *Journal of Economic Perspectives* 34, no. 1 (2020): 94-121. https://doi.org/10.1257/jep.34.1.94.

8. IOM (2024). Socio-economic Situation of Refugees from Ukraine. https://czechia.iom.int/sites/g/files/tmzbdl1681/files/inline-files/iom-czechia-dtm-report-2023_en.pdf

9. Radio CZ (2024), https://english.radio.cz/survey-two-thirds-economically-active-ukrainian-refugees-have-jobs-czechia-881356

10. Staatssekretariat für Migration (2025). https://www.sem.admin.ch/sem/de/home/asyl/ukraine/statistiken.html

11. For example: Hainmueller, Jens, Dominik Hangartner, and Duncan Lawrence. "When Lives Are Put on Hold: Lengthy Asylum Processes Decrease Employment among Refugees." *Science Advances*, 2016.

Remarks III

12. Ahrens, A., Beerli, A., Hangartner, D., Kurer, S., & Siegenthaler, M. (2023). "The labor market effects of restricting refugees' employment opportunities." KOF Working Papers, 510. https://achimahrens.de/pdf/Ahrens_LaborRestr.pdf

13. See info at https://path2work.ethz.ch/info.